74 DAYS India's strategic petroleum reserves, below the 90-day global benchmark

ENERGY

THE FUEL CRUNCH

Supply disruptions are driving up energy costs in India, exposing deep import dependence and raising the risk of prolonged price and supply pressures

By **M.G. ARUN**

For Inderjeet Singh Banga, who runs the 20-outlet restaurant chain Pirates of Grill, the Middle East conflict arrived without warning. His outlets rely on high-flame cooking, each consuming about three liquefied petroleum gas (LPG) cylinders a day. When supplies tightened, they began running short within days. "In the first few days, we had to let go of 40 per cent of the business due to LPG shortage," says Banga.

India's exposure to the war is structural. The third largest energy consumer globally, it imports 85 per cent of its crude oil, 50 per cent of its natural gas and 60 per cent of its LPG. Shipping through the Strait of Hormuz, which carries about a fifth of global oil and gas flows, has slowed sharply. Strikes on energy infrastructure in Gulf countries have tightened flows further. For India, this is showing up in rising costs—its crude basket, the weighted average of the oils it imports, has surged to over $120 (Rs 11,150) a barrel in March from an average of $69 (Rs 6,400) in February, based on export-point prices before shipping and insurance. The landed cost—on reaching Indian ports—stood at $156 (Rs 14,500) on March 19, reflecting elevated risk premiums.

Similar pressures can be seen in gas supplies. LPG distribution has been hit across major cities, with delays of over 15 days amid reports of hoarding. "As much as 60 per cent of the LPG supply in India has been disrupted," says Prashant Vasisht, senior vice-president and co-group head for corporate ratings at ICRA. Price transmission to consumers has begun. A non-subsidised domestic LPG cylinder now costs Rs 913 in Delhi after a Rs 60 hike. Commercial cylinders have risen by Rs 142.5 to Rs 1,883. Industrial die-



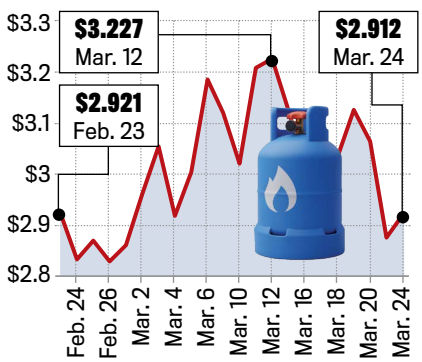
SUPPLY STRAIN People queue up to get refilled LPG cylinders in Nagaon, Assam, Mar. 19

GAS MARKET TURBULENCE

Natural gas prices remain volatile globally, with strains now visible in domestic supply chains as well

NATURAL GAS PRICES

(per Metric Million British Thermal Unit or MMBtu; day's average)



Sources: oilprice.com & GoI

THE IMPACT

LPG distribution hit across cities, with delays of over 15 days. Domestic and commercial cylinder rates hiked by 7–8 per cent